

Agilent Technologies

Q3'23 Financial Results Overview



Safe Harbor

These presentations contain forward-looking statements (including, without limitation, information, and future guidance on the company's goals, priorities, revenue, revenue growth, earnings per share, operating margin, operating cash flow, capital expenditures, capital allocation, growth opportunities, new products and solutions, customer service and innovation plans, financial condition and considerations, impact of acquisitions, share repurchases, dividends, the markets the company sells into, operations, manufacturing site plans and tax rates) that involve risks and uncertainties that could cause results of Agilent to differ materially from management's current expectations. The words "anticipate," "plan," "estimate," "expect," "intend," "will," "should," "forecast," "project" and similar expressions, as they relate to the company, are intended to identify forward-looking statements.

In addition, other risks that the company faces in running its operations include the ability to execute successfully through business cycles; the ability to successfully adapt its cost structures to continuing changes in business conditions; ongoing competitive, pricing and gross margin pressures; the risk that our strategic and cost-cutting initiatives will impair our ability to develop products and remain competitive and to operate effectively; the impact of geopolitical uncertainties on our markets and our ability to conduct business; the impact of currency exchange rates on our financial results; the ability to improve asset performance to adapt to changes in demand; the ability to successfully introduce new products at the right time, price and mix, the adverse impacts of and risks posed by the COVID-19 pandemic, and other risks detailed in the company's filings with the Securities and Exchange Commission, including our quarterly report on Form 10-Q for the quarter ended April 30, 2023.

The company assumes no obligation to update the information in these presentations. These presentations and the Q&A that follows include non-GAAP measures. Non-GAAP measures exclude primarily the impacts of asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration, loss on extinguishment of debt, business exit and divestiture costs, pension settlement loss and net gain/loss on equity securities. We also exclude any tax benefits that are not directly related to ongoing operations and which are either isolated or are not expected to occur again with any regularity or predictability. With respect to the company's guidance, most of these excluded amounts pertain to events that have not yet occurred and are not currently possible to estimate with a reasonable degree of accuracy. Accordingly, no reconciliation to GAAP amounts has been provided.

Agilent Results Q3'23

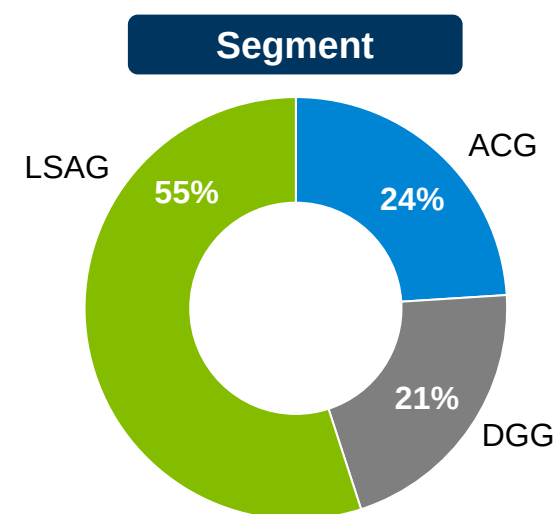
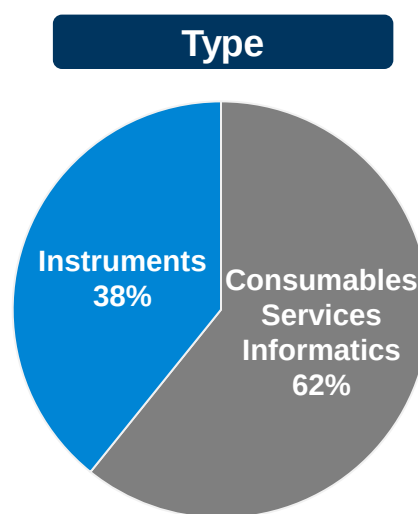
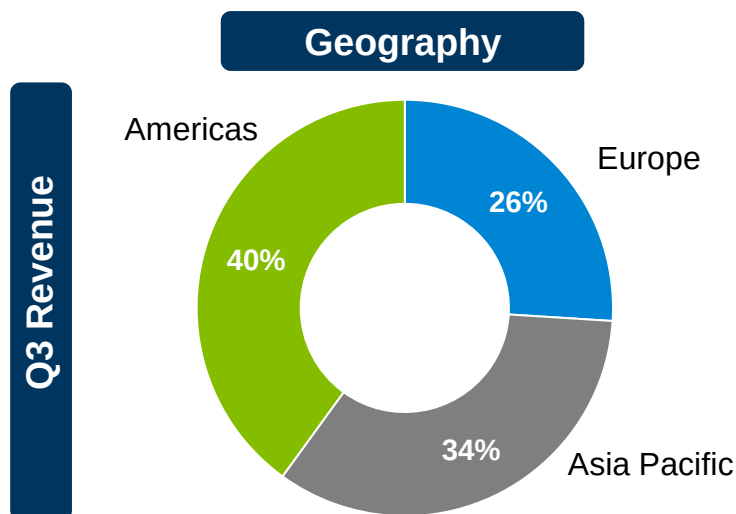
A leading lab partner with unsurpassed capabilities and scale

Q3'23 Financial Metrics

- **Revenues:** \$1.67B, -2.7% reported, -2.3% y/y core⁽¹⁾⁽²⁾ (-0.5% FX, +0.1% M&A).
- **Operating Margin:** 29.3%⁽²⁾ of revenue, up 180 basis points y/y.
- **EPS:** \$1.43⁽²⁾, up 7% y/y.

Q3'23 Highlights

- **Growth:** +2% growth ex-China with strength globally in our services offerings.
- **Margins:** Operating margin improved 180 bps as we adjusted to the market conditions, driving discretionary expense reductions as well as variable compensation savings.
- **Capital Allocation:** Generated operating cash of \$562M, invested \$81M in capex, paid \$66M in dividends, and repurchased 2.8M shares for \$335M.



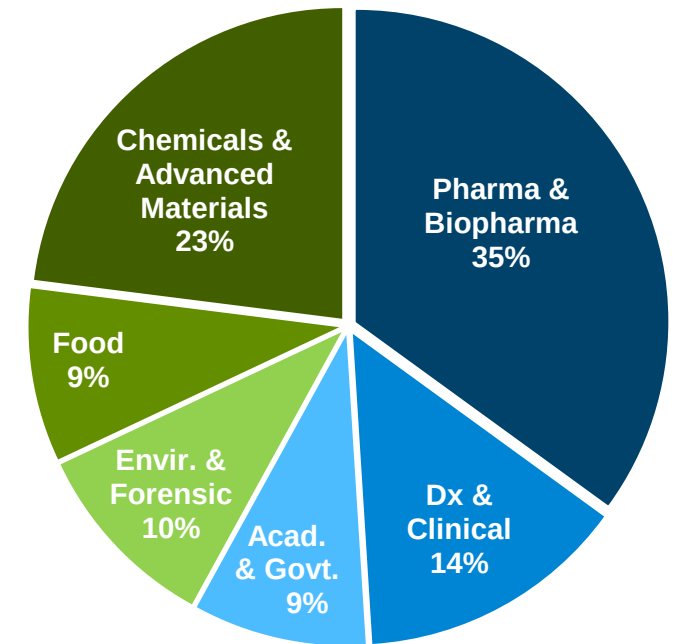
(1) Core growth is reported growth adjusted for the effects of acquisitions and divestitures, and FX.

(2) Presented on a non-GAAP basis; reconciliations to closest GAAP equivalent provided on Agilent's Investor Relations website.

Growth in a \$68B+ Market – Q3'23 Core Growth⁽²⁾ Results by End Market

Low single digit core growth ex-China, with Academia & Government continuing to see solid momentum

- **Pharma & Biopharma:** Down -8% with BioPharma growth offset by softening global demand in small molecule, particularly in China
- **Chemicals & Advanced Materials:** Down -3% against a difficult +22% comp last year. Soft China market and macro concerns weighing on the market, driving CapEx conservatism
- **Academia & Govt:** Up 5% on continued growth in public funding globally
- **Environmental & Forensics:** Up 2% as robust double-digit growth in the US and Europe bolstered by PFAS was offset by weakness in China
- **Food:** Up 1% with solid mid-single digit growth ex-China as food authenticity and PFAS help drive demand
- **Diagnostics and Clinical:** Up 3% with continued strong performance from IHC-based Cancer Dx, while challenging market conditions persist for the Genomics business



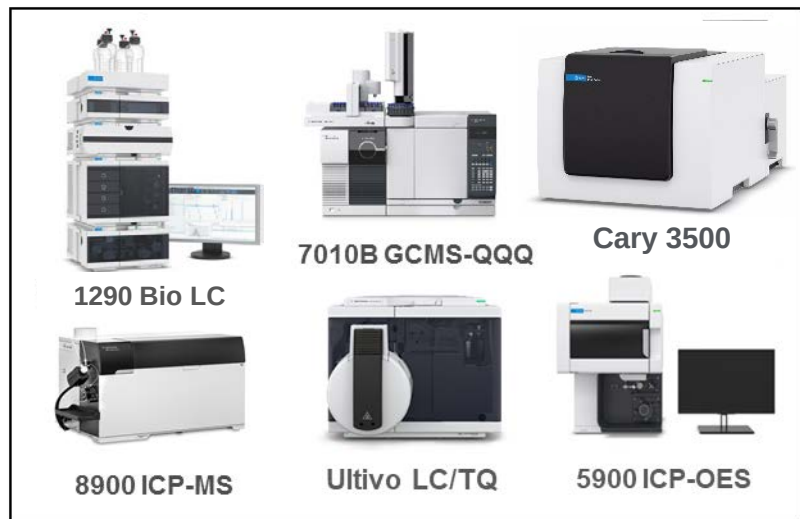
Agilent Revenue by End Market ⁽¹⁾

(1) % of Q3'23 Agilent revenue.

(2) Core growth is reported growth adjusted for the effects of acquisitions and divestitures and FX; reconciliations to closest GAAP equivalent provided on Agilent's Investor Relations website.

Life Sciences & Applied Markets Group (LSAG)

Instrumentation, Informatics, and Consumables for Analytical Laboratories



- **Q3'23 Revenue of \$927M**
- **Y/Y Growth: -9% (-9% core⁽¹⁾⁽²⁾)**

(1) Core growth is reported growth adjusted for the effects of acquisitions and divestitures, and FX.
(2) Presented on a non-GAAP basis; reconciliations to closest GAAP equivalent provided.
(3) Presented on a non-GAAP basis.

- Macroeconomic uncertainty and a challenging comp impacted Q3, however a **healthy 5%+ 4-year CAGR** for this business reflects the longer-term demand profile for our analytical instruments.
- **Announced two new LCMS systems** at ASMS 2023, the 6495D LC triple quad and the next-gen Revident Q-TOF. Both products offer advanced instrument intelligence features that help customers get to their answers faster, more efficiently, and with greater accuracy and reliability.
- **Announced a complete workflow solution for targeted PFAS** analysis using US EPA Method 1633, which analyzes 40 PFAS compounds and is complex and labor-intensive. The new workflow simplifies setup and provides a robust end-to-end analytical methodology that reduces development time, while increasing throughput and accuracy.
- **Operating Margin** was 29.9%⁽³⁾, down -60 bps versus last year.

Agilent CrossLab Group (ACG)



- **Q3'23 Revenue of \$396M**
- **Y/Y Growth: +10% (+11% core⁽¹⁾⁽²⁾)**

- CrossLab continued to deliver with **another outstanding quarter in Q3, growing 11% core and achieving record 30%+ operating margins** under challenging market conditions.
- Delivered growth in every market and region during the quarter
- **Q3'23 Operating Margin** was 32.7%⁽³⁾, up 810 bps versus last year

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(2) Presented on a non-GAAP basis; reconciliations to closest GAAP equivalent provided.

(3) Presented on a non-GAAP basis.

Diagnostics and Genomics Group (DGG)

Pathology, Genomics, and Nucleic Acid Manufacturing



- **Q3'23 Revenue of \$349M**
- **Y/Y Growth: +3% (+3% core⁽¹⁾⁽²⁾)**

- **Q3 core revenue growth of 3%** was led by strong demand for our Pathology products as patients continue to return for regular health screening, as well as high-teens performance from NASD.
- **Started production in Train B of our Frederick, Colorado, oligo-nucleotide manufacturing facility.** Train B will produce GMP quality oligo-nucleotide active pharmaceutical ingredients for our pharma partners' siRNA- and antisense-based therapeutic programs at the clinical trial and commercial phases.
- **Q3'23 Operating Margin** was 24.0%⁽³⁾, up 250 bps versus last year.

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(2) Presented on a non-GAAP basis; reconciliations to closest GAAP equivalent provided.

(3) Presented on a non-GAAP basis.

Q4'23 and FY'23 Guidance and Forward-looking Considerations

Based on Forecasted Currency Exchange Rates

Q4'23 Guidance ⁽¹⁾		
	Low End	High End
Net Revenue (\$M)	\$1,655	\$1,705
<i>Y/Y Core Revenue Growth ⁽²⁾</i>	<i>-12.2%</i>	<i>-9.5%</i>
<i>Assumes +1.7% FX</i>		
EPS	\$1.33	\$1.36

FY'23 Guidance ⁽¹⁾		
	Low End	High End
Net Revenue (\$M)	\$6,800	\$6,850
<i>Y/Y Core Revenue Growth ⁽²⁾</i>	<i>0.8%</i>	<i>1.5%</i>
<i>Assumes -1.6% FX, +0.1% M&A</i>		
EPS	\$5.40	\$5.43

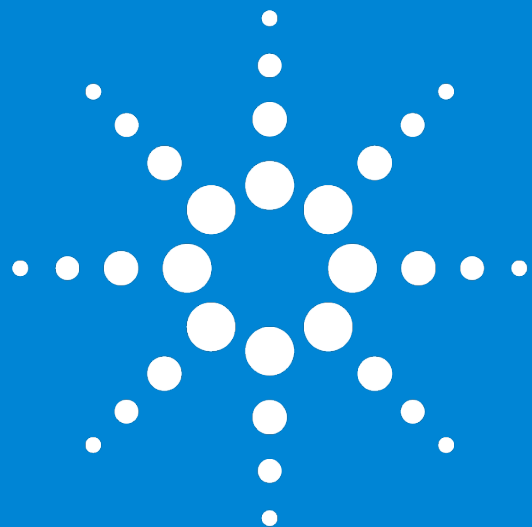
FY23 Financial Considerations

- Net Interest + Other Income/Expense: ~\$13M in net expense (~\$5M expense in Q4)
- Non-GAAP Tax Rate at 13.75%
- Guidance assumes diluted share counts of 296M for the full year and 293M for Q4
- Operating Cash Flow of \$1.5B and CapEx of \$300M
- Shareholder Returns: \$266M in dividends. Anti-dilutive share repurchases at a minimum
- The 2023 Stock Repurchase Program ⁽³⁾ with authorization up to \$2 billion began on March 1, 2023, and has \$1.6B capacity remaining.

(1) As of August 15, 2023, based on forecasted currency exchange rates. Presented on a non-GAAP basis.

(2) Core growth is reported growth adjusted for the effects of acquisitions and divestitures, and FX.

(3) Per 10b5-1 plan, maximum of 2.6M shares to be purchased on daily systematic basis.



Agilent

Trusted Answers